

Ref No: 85596820

Date: 27/07/2021

To:

NAKLANK ANODISE
PLOT NO 6502/3, ROAD NO 65 A
SACHIN GIDC, SURAT
SURAT
GUJARAT 394520

Dear Sir(s)

Subject: Sanction of Credit Facilities**Kind Attention:** NIRALKUMAR AKABARI

With reference to your request, we are pleased to sanction the following credit facilities as per the terms and conditions given here under:

This sanction is subject to the acceptance of Terms and conditions mentioned in this sanction letter and more particularly detailed in the Facility documents/Master Facility Agreement and submission of required documents, detailed below, unless specifically waived by the Bank.

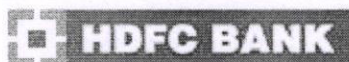
1. **Borrower** : NAKLANK ANODISE
2. **Proprietor/ Partners/
Promoter Directors** : NAKALANK ANODISE, NIRALKUMAR
AKABARI, SAVARIYA METAL
3. **Guarantors** : NIRALKUMAR AKABARI, SAVARIYA
METAL, VINUBHAI AKABARI, BHAVESH BHAI
JAMANBHAI PATEL, NAKLANK INDUSTRIES
4. **Total amount sanctioned** : Rs. 10,500,000
Rupees One Crore Five Lakh Only

5. Details of Credit facilities sanctioned

Sl.No	Credit Facility	Currency	Limits	Interest Rate (percentage per annum) (Floating Rate): Reference Rate * + Spread of ____ (%) p.a.	Current Reference Rate * (____) / LIBOR rate (%)	BG/LC Commission (%)	Tenor / Valid Upto	Margins
1	1/CASH CREDIT	INR	4,000,000.00	7.25	4		12 15/07/2022	
2	2/EEG-WC TERM LOANS	INR	6,500,000.00	7.25	4		60 15/07/2022	
3	3/CAPEX LC [SubLimit]	INR	6,500,000.00		4	1.25	90 15/07/2022	25
	Total Limits	Rs.	10,500,000.00					

*In case of external benchmark the Reference Rate shall be reset by the Bank once in three months or at such intervals as may be permissible under the RBI guidelines/regulations from time to time. In case of MCLR Reference Rate the applicable Bank's Reference Rate the applicable Bank's MCLR shall be reset by the Bank in accordance with the tenure/tenor frequency of the MCLR being [overnight]/[one-month]/[three-month]/[six-month]/[one-year] MCLR. The Borrower hereby further agrees that the applicable interest rate shall change in accordance with every reset/change of the Reference Rate or change of the spread by the Bank.





6. Purpose : WC
7. Interest payment : Monthly rests, unless otherwise specified. Interest needs to be serviced by the 3rd of every month.
8. Fees & Charges :

Sl.No	Fees / Charges	Amount (Rs.) / Rate (%)
1	BB RENEWAL FEES	0.25 + GST
2	PROCESSING FEES FROM CUSTOMER	0.25 + GST

9. Security -Primary : GUARANTEES, PLANT AND MACHINERY, STOCK, DEBTORS, FD FOR CAPEX LC

10. Security -Collateral :

Property Details

Sl.No	Property description/Address	Type of property (Residential / commercial)	Area	Unit Type	Market value
1	INDUSTRIAL PLOT NO 6502 / 3ROAD NO. 65/ASACHIN GIDC394230NR FIRE STATION, TALANGPORE	INDUSTRIAL ESTATES WITH INDUSTRIAL ACTIVITY	0	Sq.Feet	50,000,000.00

11. Other Covenants

- a) Interest Servicing : In case of a CC/OD facility, last day of every month.
- Interest to be serviced within 3 days of the applicable due date even if the utilization is within the sanctioned limits.**
- b) Interest Levy : Charged @ 18.00% p.a. on overdue/ delays/ defaults of any monies payable.
- c) Commitment Charges : Charged @ 0.50% p.a. on quarterly basis, on the entire unutilized portion, if average utilization is less than 60%. <Only for CC/OD facility>
- d) Stock Statement : To be submitted QUARTERLY with ageing detail, on or before the 7th day of the month. <Only for CC facility>. The Book debts statements will not include receivables from affiliates of the borrower (including subsidiaries and employees).
- e) Additional Interest levy : @ 2% p.a. additional interest levy over existing rate of interest on account of:
- Maintaining Current Account with Other Bank while facility is granted under Sole Banking (applicable where specific permission is not taken by the customer).
 - Deterioration in account conduct.



f) Penal Interest levy

@ 2% p.a. Penal interest levy over existing rate of interest for:

- I. Non-submission of documents for renewal of credit facilities.
- II. Non submission of Stock statement.
- III. Non submission of Stock and Property Insurance policy including renewal policy.
- IV. Non-compliance in documentation for the credit facility.

g). Service Charges - for processing Physical Stock Statement :

Rs. 500 for every physical stock statement collected or submitted.

h). Stock Audit Charges :

For Sanctioned Limits upto Rs. 5 Cr : Rs.8,000/- plus taxes as applicable.

For Sanctioned Limits above Rs 5 Cr : Rs.12,000/- plus taxes as applicable.

(**For the customers having multiple locations, stock audit charges to paid per number of visits at each factory, office, godown etc.).

i). Conversion Charges (For revising rate of interest) :

@ 0.25% plus taxes as applicable on loan outstanding in case of Term loan and on sanctioned amount for other Working Capital Facility (e.g. Cash Credit / Overdraft etc.) or Rs. 5, 000 plus taxes as applicable, whichever is higher.

j) Cersai Charges for creation / modification of security interest on collateral securities:

Rs 100/- per Collateral security for each creation/ modification of charges.

12. Documentation
13. Specific Conditions
Terms & Conditions

Sl.	Terms & Conditions
1	Undertaking to be submitted prior to disbursement: -No any loan to be availed or Bank account to be opened without permission of HDFC Bank -Security shall not transfer, sell, lease, grant on license or create any third party interest of any nature, whatsoever, without the prior written consent of the Bank. -There are no Bad Debtors & Stuck up payment -Existing Fund Shall Not Be Withdrawn From Business and atleast 25% NWC Margin To Be Maintained During Currency Of Facility -There are no Statutory Due pending for payment -Not more than 5% adverse variation to be there between Provisional and Audited financial statement of FY21
2	The customer to confirm via registered email id or letterhead the projected sales for FY22 as was confirmed during visit/concall
3	For fresh term loan disbursement : - Term loan tenure is 60 months - Promoters margin for purchase of machines shall be 25.00% - Any addition in cost or overrun cost to be born by promoter with infusion of additional funds
4	-Duly signed projection (as mentioned in CAM as per details provided by customer to RM) to be taken on record -Valid quotations along with Duly signed Project cost (as mentioned in CAM as per details provided by customer to RM) with list of plant & machinery, construction cost if any by customer to be taken on record
5	Rm Visit Report To Be On Records Confirming The Machines For Which The Term Loan Is Proposed Are Installed And Are Working Satisfactorily Within 60 Days From The Date Of Disbursement Of Term Loan toward purchase of machinery.





Terms & Conditions

Sl.	Terms & Conditions
5	Banks Disbursement For Each Tranche To Be Made After The Promoter Funding For That Tranche Has Been Done In Proportion To The Respective Contribution Approved, Directly To The Project Vendor On The Written Request Of The Borrower/Receipt Of The Supporting Invoices/Bills
1	Customer request letter for Capex LC issuance to be on records prior to disbursement of Capex LC
2	Undertaking to be submitted prior to disbursement: -Minimum DSCR Of 1.20x To Be Maintained During The Currency Of Bank Finance -There is no other bank current account of the captioned firm

Additional

Checks Done:

- Svr Should Be In Place
- Cibil
- Dedupe
- Rfa
- Caution Advice

Credit Covenants :

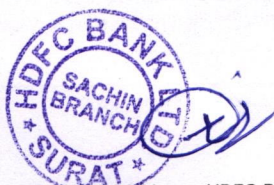
The Firm S Tangible Net Worth Including Unsecured Loans (Net Of Non Business Loans & Advances And Investments) To Be Maintained At Minimum Levels Of Rs.81.2lacs (Including Term Loan Margins) During The Currency Of The Facility.

Note:

- Profits To Be Retained And Existing Funds Shall Not Be Withdrawn From Business
- Pmb Of Rs.221.8 Lacs Of Savariya Metal As On 31.03.2021
- Pmb Of Rs.81.2lacs Of Nakalank Anodise As On 31.03.2021
- Group Pmb To Be Maintained At Rs.318lacs

Declaration/ Undertaking

- Any increase in project cost on account of any item not listed in the project details submitted for evaluation and / or time or cost overrun will be funded by infusion of Long term funds by the promoter.
- No dividend to be declared/ no withdrawal in form of salary/remuneration/incentive/ commission by the promoters/ directors in case of Overdues with bank.
- None of the directors of the Borrower is a director or specified near relation of a director of a banking company.
- To route all sale proceeds through HDFC Bank only and other bank accounts to be closed within 1 month of disbursal / takeover.
- Promoters tangible net worth including unsecured loan to be maintained at Rs. NA Lacs as on _____ during the currency of the overdraft.
- No withdrawals of unsecured loans of Rs. NA Lacs during the currency of the overdraft.
- No interest to be paid on unsecured loans in case of any over dues with Bank.

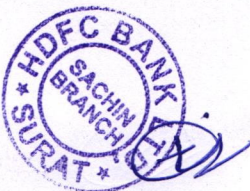


8. Unsecured Loans will be converted into Equity as and when required to maintain a positive tangible Net worth.
 9. The funds will not be utilized for any speculative, illegal and investing in Capital market purposes but will be utilized only for Working Capital Requirements.
 10. The insurance on stock and property to be assigned in favor of HDFC Bank within 30 days after the date of disbursement in the event of noncompliance of the same HDFC Bank reserves the right to debit the credit facility A/c/Current account for the insurance premium and get the policy assigned in the favor of the bank.
 11. Adequate Insurance policy for stock and property to be obtained and duly assigned in favour of the Bank. Policy to be submitted atleast 30 days in advance.
 12. **"Borrower is required to ensure the satisfaction of Charge in CERSAI registry on collateral offered as a security prior to release of facility and in case of take over from any other financial institution / Bank, such satisfaction of charge to be ensured within 10 days of facility closure with that Institution / Bank. Borrower to share relevant transaction and asset ids to HDFC Bank."**
14. **Standard Terms & Conditions:**
1. In addition to evaluating various risks, the Bank, in addition follows the borrower grading to evaluate the credit proposal. The grading model covers both quantitative/financial factors relating to Leverage, Interest Coverage, Profitability, Debt Service Coverage etc as well as wide spectrum of qualitative factors such as Integrity, Borrower's market position, Management competence, Expectation of future performance etc. The detailed illustration of the parameters are available on Banks website on the link as given http://www.hdfcbank.com/htdocs/common/pdf/Policy_Guidelines.pdf.
 2. All Interest rates are linked to Reference Rate. The current Reference Rate (_____) is _____ % per annum which shall be subjected to revision from time to time. The prevailing Reference Rate can be checked at our website www.hdfcbank.com. The interest payment frequency for the credit facilities is monthly in nature.
 3. The facilities availed in foreign currency are linked to LIBOR/ FCNR(B) or appropriate benchmark rates and are subject to availability of foreign exchange with the Bank.
 4. In event of Overdue Unserviced Interest Amount, Bank reserves the right to recover the monthly overdue interest amount on or post the 4th of the subsequent month from your linked account under the same customer ID. This transaction will take place subject to the availability of funds in the account.<Only for CC/OD facility>





5. The interest rate offered for Export Packing Credit and/or Post Shipment facilities is inclusive of subvention and is subject to guidelines stipulated by RBI from time to time. HDFC Bank Ltd. ('Bank') reserves the right to change this rate in case of export subvention being changed or withdrawn by RBI.
6. Bank based on the representations made by the Borrower and the furnishing of financial statements by the Borrower has extended the above mentioned Credit Facilities. The commitment to the proposed facilities is subject to:
 - a. Guarantors not to issue any Personal Guarantee for any other loans without prior written permission of HDFC Bank except for Car Loans, Personal loans, Home loans, Education loans to be obtained for self and family members.
 - b. We are pleased to offer you a preferential rate of NA interest for the above facilities. This will be incumbent upon your shifting all your business and family accounts to us and that HDFC bank will become your preferred bank for all your personal and business needs. The interest rate will be reviewed at the time of renewal every year.
 - c. Borrower shall not have any accounts with other Banks / Financial institutions (for sole banking).
 - d. Borrower shall not divert any funds to any purpose and launch any new scheme of expansion without prior permission of HDFC Bank.
7. Borrower is required to submit bank statements of other banks in the multiple banking arrangement / consortium along with stock and book debts statements every month. (for multiple banking arrangement / consortium).
8. Limits are reset on the basis of DP every month and there will be no separate intimation on the same.
9. Processing fees are not refundable once the loan has been sanctioned.
10. Credit Facilities are payable on demand and are subject to annual renewal. Renewal documents are to be submitted 60 days prior to expiry of the limit as mentioned in the facility details above. Bank reserves the right to charge an additional 2% interest rate on the outstanding amount in case the documents are not submitted within the due date. This would be over and above any additional charge, if any, that may have been levied to the customer.
11. In case of takeover of facilities
 - a) Failure to comply with the takeover formalities in respect of the facilities including creation and perfection of security in favor of the Bank will constitute an event of default under the facility documents executed by you with the Bank and the Bank shall be entitled to exercise all the rights available on the occurrence of an event of default, including without limitation our right to recall/ withdraw the facilities and to take steps (such as legal proceedings, enforcement of security etc.) to recover the amounts disbursed under the facilities
 - b) The Borrower to submit No Charge on asset/No Dues/Satisfaction of charge certificate from the existing Bank within 15 days of the first disbursement, failing which an additional interest of 2% on the outstanding amount would be charged to the borrower.

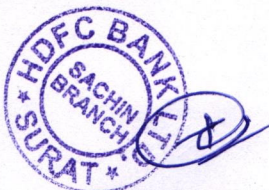


12. In case of a failed takeover, Bank reserves the right to charge the Borrower 1% of the total limits sanctioned as failed takeover charges.
13. Laminated documents will not be accepted, Borrower needs to delaminate the same at his own expenses prior to loan disbursals or carry-out forensic test of the document by bank identified vendor. However please note bank reserves the right to accept the document based on the forensic report.
14. All documents evidencing "documents of title to immovable property" must be originals only. Bank reserves the right to accept certified true copy of any "documents of title to immovable property".
15. Borrower is liable to be charged 4% of the total limits sanctioned in case the facilities are taken over by another Bank during the tenor of the loan. For Term Loans it would be charged on Principal Outstanding as on date.
16. The Bank will have the right to review its facilities in case of any change in the ownership of the Borrower enterprise. The Borrower to immediately inform HDFC Bank with regard to changes in the shareholding pattern, if any.
17. Nothing contained in this sanction letter should be deemed to create any right or obligation or interest whatsoever in favour of or against any party and the Borrower shall be liable to execute appropriate loan documents as required by the Bank.
18. The Bank shall also be entitled and authorized to debit the Borrower's Current / Cash Credit/ Overdraft Account No. _____ against Processing fees, Insurance Charges and any other fees/charges as applicable for releasing the facility.
19. The Borrower shall not transfer, sell, lease, grant on license or create any third party interest of any nature whatsoever on the Security without the prior written consent of the Bank.
20. The Borrower to ensure that the stocks are stored in the premises as disclosed to HDFC Bank and such premises to be adequately insured.
21. The Borrower shall also maintain adequate insurance on these stocks which are customarily insured with the name of the Bank as loss payee in all such policies and deliver to the Bank evidence of the same.
22. In the event of any change/addition in the premises where the stocks are stored, the Borrower shall provide prior information to HDFC Bank through a written communication to the concerned Relationship Manager/Branch. This communication has to reach the RM / Branch atleast 7 days prior to such change. The Borrower shall also maintain adequate insurance on the stocks as per the changed/added premises with the name of the Bank as loss payee in all such policies and deliver to the Bank evidence of the same.
23. Subsidy scheme undertaking (applicable only for subsidy related schemes) - This loan, as per the Bank's internal assessment, is eligible to be governed under the NA. However as approval/ sanctions by NA is under their sole discretion, the Bank being a nodal agency will not be held liable for any rejections/ future claims/ compensation whatsoever arising on account of such rejections. The Bank will endeavor to exercise its best efforts to dispatch/ deliver the documents to NA. The Bank, being a nodal agency, will not under any circumstances be liable for any delay/ non-receipt of documents at NA regardless of the cause of such delays and any loss arising out of such delays.





24. The Bank reserves an unconditional right to cancel the undrawn/unused/unavailed portion of the loan/facility sanctioned at any time during the currency of the Loan/Facility, without any prior notice to the borrower. Such instances will be notified within 30 days. If such change is to your disadvantage, you may within 60 days and without notice close your account or switch it without having to pay any extra charges or interest.
25. The Borrower undertakes that no consideration whether by way of commission, brokerage fees or any other form, would be paid by the Borrower to the Guarantor in whatever form, directly or indirectly for the issuance of the guarantee as security for the Facility.
26. All terms not specifically defined herein shall have the meanings as described to them in Schedule 1 hereunder written.
27. The Borrower shall deliver to the Bank and where applicable, cause the Security Provider(s) to deliver to the Bank (such that, for the Security Provider(s), all references to the Borrower below shall be deemed to mean references to the Security Provider(s)), the following, in a form and content acceptable to the Bank:
- a) Certified true copy of the constitutional document and the proof of incorporation of the Borrower;
 - b) In the event the Borrower is a company incorporated under the provisions of the Companies Act, 1956 or the Companies Act, 2013, a certified true copy of the resolution passed by the board of directors authorizing the negotiation and availing of the Facility on the terms of the Transaction Documents and the execution of the Transaction Documents and the execution of all other documents as may be required by the Bank in connection with the Facility;
 - c) In the event the Borrower is a company incorporated under the provisions of the Companies Act, 1956 or the Companies Act, 2013, a certificate from the statutory auditor that the availing of the Facility is within the limits set out under Section 180(1)(a) and 180(1)(c) of the Companies Act, 2013. The Borrower shall provide a certified true copy of a shareholders resolution approving the availing of the Facility by the Borrower;
 - d) Where the Borrower is:
 - (i) an individual and;
 - (ii) a partnership firm and any of the partners is a director or;
 - (iii) a joint stock company and any of its directors is a director or a specified near relation of a director of a banking company/ financial institution, or at any time during the currency of this Facility, becomes a specified near relation of a director of a banking company/ financial institution, details of the relationship of the Borrower with the director of the banking company/ financial institution; Provided that, in the event Clause (d) is not applicable and unless otherwise declared to the Bank in writing, the Borrower hereby declares that he is not a director or specified near relation of a director of a banking company/ financial institution.



17. As security for any and all of the Borrower's obligation and/or liabilities hereunder or otherwise, which may be absolute or contingent, due or to become due from the Borrower to the Bank under any and all credit(s) or guarantees or indemnities issued by the Bank hereunder as aforesaid, the Borrower hereby acknowledges and admits to the Bank's ownership in and unqualified right to the possession, disposal, retention by way of lien and appropriation of:
- (i) any and all shipping documents, warehouse receipts, policies or certificates of insurance and, other documents accompanying or related to drafts drawn under the said credit(s);
 - (ii) any and all property shipped under or pursuant to or in connection with the said credit(s), or in any way relating thereto;
 - (iii) any of the drafts drawn there under (whether or not such documents, goods or other property be released to or upon the Borrower's order on trust or bailee receipt);
 - (iv) any monies received under any insurance policy or policies; and
 - (v) the proceeds of each and all of the foregoing;
until such time as all the Borrower's obligations and/ or liabilities to the Bank at any time existing under or pursuant hereto, or the said credit(s) hereunder, or the Borrower's any other obligations or liabilities to the Bank, now existing or hereafter arising, have been fully paid and discharged.
18. The Borrower further agrees that all or any of such property and/or documents, and the proceeds thereof, and monies receivable under insurance policy or policies coming into the Bank's possession or that of any of the Bank's correspondents, may be held and disposed of by the Bank as hereafter provided it being understood that the receipt by the Bank, or by any of the Bank's correspondents, at any time of any other security whatsoever nature, including cash shall not constitute or be deemed a waiver by the Bank of any of the Bank's rights or powers hereunder.
19. Any property and/or documents, which may be held by the Bank, or for the Bank's account, as collateral hereunder, may be realised by the Bank to or upon order in trust. The Borrower will sign and deliver to the Bank on demand such form(s) of trust receipt or writing as may be required by the Bank, the intention being that the Borrower's rights herein or therein shall be in furtherance of and/or in addition to, but not in limitation of the Bank's rights under any Law. Upon any transfer, sale, delivery, surrender or endorsement of any bill of lading, warehouse receipt or other document at any time(s) held by the Bank, or held for the Bank's account by any of the Bank's correspondents, relating to any draft(s) drawn or purported to be drawn under the said credit(s), the Borrower will indemnify and hold the Bank harmless from and against each and every claim, demand, action or suit which may be made or commenced or arise against the Bank, or any such correspondent(s), by reason thereof.
20. At any time and from time to time, on demand, to deliver, convey, transfer, or assign to the Bank as security for any and all of the Borrower's obligations and/or liabilities hereunder, and also for any and all other obligations and/or liabilities, absolute or contingent, due or to become due, which are now, or may at any time hereafter, be owing by the Borrower to the Bank additional security of a value and character satisfactory to the Bank, or to make such cash payment(s) as the Bank may require.
21. The Bank is hereby authorised, at the Bank's option but without any obligation so to do, to transfer to and/or register in the name(s) of the Bank's nominee(s) all or any part of the property which may be held by the Bank as Security at any time(s) hereunder, and to do so before or after the maturity of any of the said obligations and/or liabilities and with or without notice to the Borrower.
22. Neither the Bank nor any of the Bank's correspondents shall be required to look into or be responsible for:
- (i) the use which may be made of the said credit(s) or for any acts or omissions of the beneficiary(ies) in connection therewith;
 - (ii) the existence, character, quality, condition, packing, value of delivery of the property purporting to be represented by the documents.
 - (iii) any difference in character, quality, quantity, conditions or value of the property from that expressed in documents and/or for any difference between the description of the property as contained in the said credit and that contained in the invoice and/or other related shipping documents and for any discrepancy between the terms of the said credit and any other document;





- (iv) the validity, sufficiency, genuineness, form of correctness, if any, of documents, or of any endorsement(s) thereon, even if such documents or endorsements should in fact prove to be in any or all respects invalid, insufficient, fraudulent or forged;
- (v) the time, place, manner or order in which shipment is made;
- (vi) partial or incomplete shipment, or failure or omission to ship any or all of the property referred to in the said credit;
- (vii) the character, adequacy, validity or genuineness of any insurance;
- (viii) the solvency or responsibility of any insurer, or for any other risk connected with insurance;
- (ix) any deviation from delay, default or fraud by the shipper and/or any other(s) in connection with the property or the shipping thereof;
- (x) the solvency, responsibility or relationship to the property of any party issuing any documents in connection with the property;
- (xi) delay in arrival, or failure to arrive, of either the property or any of the documents relating thereto for whatever reason;
- (xii) delay in giving, or failure to give, notice of arrival or any other notice;
- (xiii) any breach of contract between the shipper(s) or vendor(s) and the consignee(s) or buyer(s);
- (xiv) failure of any draft to bear any reference or adequate reference to the said credit or failure of documents accompanying any draft at negotiation or failure of any person to surrender or to take up the said credit or to send forward documents or to draw and negotiate drafts and/or the failure of the Bank's branch or correspondents to send forward drafts each of which provisions, if contained in any credit itself, it is agreed may be waived by the Bank or;
- (xv) errors, omissions, interruptions or delays in transmission or delivery of any message by mail, cable, telegraph, wireless or otherwise whether or not they may be in cipher;

That the Bank shall not be responsible for and shall be entitled to be indemnified notwithstanding any act, error, neglect or default, omission of any of the Bank's branch and/or correspondents or insolvency or failure of business of any of the Bank's correspondents, and that the happening of any one or more of the contingencies referred to hereinbefore in this clause shall not affect, impair or prevent the vesting of any of the Bank's rights or powers hereunder or accrual of the Borrower's liability to pay to the Bank unconditionally the amount due under the said credit together with interest and all costs charges and expenses which liability is hereby irrevocably and unconditionally accepted and acknowledged and the Borrower agrees that the Bank shall have no liability in respect of any such matters and that the Borrower will hold the Bank harmless and indemnified in respect of any and all damage and loss whatsoever suffered by the Bank by reason of any and all action taken by the Bank or any of the Bank's branch or correspondent in furtherance of the above request for opening the said credit in furtherance and extension and not in limitation of the specific provisions hereinbefore set forth, it is hereby further agreed that by action, inaction or omission, mistake or oversight taken or suffered or made by the Bank, or by any of the Bank's branch or correspondents under or in connection with the said credit or the related drafts, documents or property if in good faith, and in conformity with such foreign or domestic laws customs or regulations as the Bank or any of the Bank's branch or correspondents may deem to be applicable thereto, shall be binding upon the Borrower and shall not place the Bank or any of the Bank's branch or correspondents under any resulting liability to the Borrower.



SCHEDULE 1**Definitions**

Capitalised terms used herein shall have the meanings ascribed to them as under:

- a. **"Additional Security"** shall mean such further Security as may be required and accepted by the Bank or the Security Trustee from the Borrower or any Security Provider from time to time, in its absolute discretion, as security for the Obligations of the Borrower.
- b. **"Deposited Documents"** shall mean such documents as may be required by the Bank to be executed by the Borrower or any Security Provider(s) (including all Security Documents executed by the Borrower or the Security Provider(s) in favour of the Bank or the Security Trustee, as the case may be) including copies of all filings to be made or caused to be made by the Borrower for creation and perfection of the Security in favour of the Bank or the Security Trustee, as the case may be.
- c. **"Event of Default"** shall have the meaning assigned to it under the Master Facility Agreement;
- d. **"Facility"** shall mean the credit facility availed or to be availed of by the Borrower under the Master Facility Agreement;
- e. **"Facility Schedule"** shall mean the Schedule 1 attached to the Master Facility Agreement in relation to the Facility, setting out terms applicable to the same.
- f. **"Facility Sub-limit"** shall mean the limit up to which the Borrower may avail any Fund Based Sub-limits and/or Non Fund Based Sub-limits at the discretion of the Bank.
- g. **"Foreign Currency Rate"** shall mean either the LIBOR rate or the FCNR(B) rate or other appropriate benchmark rate;
- h. **"Fund Based Sub-limits"** shall mean the fund based sub limits availed of by the Borrower as set out under the Facility Schedule and/or the Sanction Letter, subject to the covenants, undertakings, indemnities, terms and conditions as set out under the Transaction Documents.
- i. **"Law"** shall include all statutes, enactments, acts of legislature, laws, ordinances, rules, bye-laws, regulations, notifications, guidelines, policies, requirements or restriction of any governmental authority, directions, judgments, decree, directives and orders of any government, statutory authority, court, tribunal, board or recognised stock exchange.
- j. **"Master Facility Agreement"** shall mean the master facility agreement to be executed between the Borrower and the Bank in the prescribed form;
OR
"Agreement"
- k. **"Non-Fund Based Sub-limits"** shall mean the non fund based sub limits availed of by the Borrower as set out under the Facility Schedule and/or the Sanction Letter, subject to the terms and conditions as set out under the Transaction Documents.
- l. **"Obligations"** shall mean all amounts payable to the Bank by the Borrower or any of the Security Provider(s), pursuant to the terms of the Transaction Documents, including without limitation:
- (i) the principal amounts, interest amounts, arrears of interest, indemnities, guarantee amounts, any additional charge on account of default in payment as may become due and payable by the Borrower or any of the Security Provider(s), under the Facility availed of by the Borrower from time to time; any monies as may be advanced or costs incurred by the Bank or the Security Trustee in order to create, enforce, perfect and preserve the Security and the security interest of the Bank or the Security Trustee therein;
- (ii) all expenses relating to the collection and enforcement of the Borrower's /Security Providers obligations as set out hereinabove, or of any exercise by the Bank or the Security Trustee, of its right under the Master Facility Agreement or the Security Documents, as the case may be, together with any and all legal/ judicial fees and costs;





- (iii) any indirect taxes paid by the Bank which are directly connected and/or attributable to the Facility including any stamp duty/ registration costs or any other such statutory charges in relation to, the Transaction Documents; and
- (iv) such costs, increased costs or liability borne by the Bank.
- m. **"Operative Account(s)"** shall mean such current account(s)/ cash credit account or any other account(s) as may be maintained by the Borrower with the Bank.
- n. **"RBI"** shall mean the Reserve Bank of India.
- o. **"Sanction Letter"** shall mean this letter (including its Schedules) issued by the Bank, sanctioning the Facility on the terms and conditions as mentioned hereunder and any revisions thereto from time to time as may be notified by the Bank in a manner the Bank may deem fit.
- p. **"Security"** shall mean collectively any hypothecation, mortgage, pledge, lien or any charge created over the properties, whether movable or immovable, tangible or intangible, of the Borrower or any Security Provider(s), and shall include any indemnity, any third party guarantee/ surety, any promise to pay monies (whether by way of execution of promissory notes, post dated cheques or in any other manner), any assignment of receivables, debt or rights of the Borrower, as security for repayment of the Obligations of the Borrower under the Transaction Documents and shall include all Additional Security as may be required to be provided or caused to be provided by the Borrower or the Security Provider(s) from time to time, together with all instruments, consents, approvals, permissions, no-objections, confirmations, agreements, deeds and documents delivered or required to be delivered in connection with the creation and perfection of such security in favour of the Bank or the Security Trustee, as the case may be, including without limitation the Deposited Documents, and all right, title, benefit, interest and entitlement in connection with such security or accruing there from and all proceeds arising from sale and other realization of the security or any part thereof from time to time, on such terms as are set out under the Transaction Documents.
- q. **"Security Documents"** shall mean any agreement/ writing executed by the Borrower or any Security Provider in favour of the Bank or the Security Trustee, as the case may be, in relation to the creation of Security or Additional Security in favour of the Bank or the Security Trustee.
- r. **"Security Provider(s)"** shall mean such third parties who have executed any of the Security Documents in favour of the Bank or a Security Trustee, as the case may be, or who provide such Additional Security as may be required from time to time, for securing the Obligations of the Borrower.
- s. **"Security Trustee"** shall mean any other person as may be appointed by the Bank from time to time to hold the Security in trust for, on behalf of and as agent of the Bank or any assignee or transferee or any other Lender of the Facility availed of by the Borrower under this Agreement.
- t. **"Transaction Documents"** shall mean this Sanction Letter, the Master Facility Agreement, the Security Documents, the Deposited Documents, as may be amended from time to time in the manner as provided for under the relevant document, and all other documents and writings as may be required by the Bank to be executed to give effect to the terms of sanction.



- u. **"Spread"** shall mean the spread on the MCLR, as determined by the Bank from time to time to arrive at the Interest Rate.
- v. **"Reference Rate"** shall mean such benchmark or reference rate, whether internal to Bank or external, in the discretion of the Bank, which shall be the reference rate or benchmark rate for determining the total of Rate of Interest applicable at a given time (whether by adding spread or similar margin, as per provisions of this agreement/ sanction letter) and which reference rate shall be specified by the Bank from time to time as being the reference rate applicable in relation to the loan or part thereof, as the case may be, as part of the total Rate of Interest. For clarity, such Reference Rate could be any of the base rate, Marginal Cost of Funds Based Lending Rate (MCLR), or any other type of rate as may be permissible or required from time to time now or in future in terms of any applicable law including any regulatory requirements of the Reserve Bank of India, and as shall be specified by the Bank as Reference Rate from the time being from time to time.

SCHEDULE 2

Terms and Conditions

Part I

Cash Credit, Overdraft, Working Capital Demand Loan, Overdraft Against Property and Cheque Protect

1. Notwithstanding anything contained in the Master Facility Agreement ("Agreement"), the provisions contained in this Annexure shall apply to the Cash Credit/ Overdraft/ Working Capital Demand Loan/ Overdraft Against Property/ Cheque Protect Facility Sub-limit (the "CC/ OD/ WCDL/ ODAP/ CP") granted or agreed to be granted to the Borrower.
2. Without prejudice to the Bank's rights and remedies under the Agreement and/or rights and remedies available to it under Law, if the Obligations of the Borrower with respect to the CC/ OD/ WCDL/ ODAP/ CP, as the case may be, exceeds the applicable Facility Sub-Limit of this CC/ OD/ WCDL/ ODAP/ CP, as the case may be, whether on account of debiting of Interest or any other charges by the Bank to the Operative Account or for any other reason whatsoever, the Borrower shall be liable to pay an interest at the rate of 18 percent per annum or such other rate which the Bank may fix from time to time, on such amount from the date on which the Obligations of the Borrower with respect to the CCI OD/ WCDL/ ODAP/ CP, as the case may be exceeds the applicable Facility Sub-limit.
3. The Borrowers do hereby agree that if any Cheque is drawn by them on the Bank which is in excess of drawing power, under the CC/ OD/ WCDL/ ODAP/ CP, as the case may be, granted by the Bank to Borrowers as per the Facility Schedule to the Agreement, the Bank shall be in its absolute discretion entitled to dishonor such Cheque and the Bank's decision will be binding on Borrowers.
4. With reference to any CC/OD facility, in event of any overdue unserviced interest amount, the Bank reserves the right to recover the monthly overdue interest amount on or after the 4th of the subsequent month from the Operative Account. This transaction will take place subject to the availability of funds in the account.



Letter of Credit

1. Notwithstanding anything contained in the Agreement, the provisions contained in this Annexure shall apply to the Letter of Credit Facility Sub-limit (the "LC ") availed by the Borrower.
2. All terms not defined herein shall have the same meaning as has been assigned to them under the Agreement.
3. The Borrower shall, under the terms of the LC, accept on presentation and pay at maturity without raising any objection all time drafts, and shall pay upon presentation all sight drafts drawn or purported to be drawn under letters of credit (the "said credit(s)")
4. In case the drafts are in currency other than that which constitutes legal tender at the place of payment at the Bank's office, the Borrower shall pay the equivalent amount of such drafts in currency which shall be legal tender at the place of payment, at the current drawing rate on the date of actual payment for the Bank, at sight, at the place at which cover is to be provided, together with interest at the current rate prevailing at the time of negotiation of such drafts from the date thereof to the date of payment or arrival date of remittance at the place where cover is to be provided.
5. The Borrower's liability to pay the amount of bills drawn under the LC and to reimburse payment to the Bank shall be absolute and unconditional. It will not be open to the Borrower to refuse to make payment on the grounds that:
 - (i) the description, quantity, quality or value of goods covered by such said credit(s) do not conform to the terms of the contract or the stipulated specifications; or
 - (ii) the documents received against the said credit(s) are not in conformity with the provisions thereof provided the same have been found acceptable by the Bank; the Bank's decision in that behalf being conclusive and binding on the Borrower; or
 - (iii) on any other ground without prejudice to the aforesaid.
6. Upon the Bank releasing to the Borrower the documents covered under the said credit(s) against the Borrower accepting the usance bill which may be drawn on the Bank or upon the Bank issuing a delivery order or an issuing/ missing Bill of Lading guarantee (where the goods covered by any credit have already landed but the relevant airway bill/ bill of lading/ other relevant documents to be negotiated under the said credit(s) have not arrived), the Borrower shall unconditionally be bound and liable to pay the Bank the amount of the bill and any other amount which the Bank may be required to pay under the said credit(s), notwithstanding the fact that the documents which are received thereafter are found not to be in conformity with the terms of the said credit(s) and irrespective of any dispute or difference then existing or which may thereafter arise between the Borrower and the shipper, carrier or any other person or party in regard to the Borrower's liability for payment of the related bill or invoice.
7. Although any such credit(s) which the Borrower may request the Bank to open may provide that the beneficiary will draw a usance bill(s) on the Borrower, the Borrower irrevocably authorises the Bank to negotiate the documents sent under the said credit(s) and make payment to the beneficiary of the amount of the bill(s) drawn by the beneficiary upon, receipt by the Bank of the said documents without reference to the Borrower or obtaining the Borrower's acceptance of such bill(s), provided the Bank considers the same to be in accordance with the terms of the said credit(s). The Bank's decision that the documents are in conformity with the terms of the said credit(s) will be conclusive and binding on the Borrower.



8. The Borrower is aware that there may be some delay between the time the Bank forwards the documents to the Borrower after receipt of the same by the Bank and the Borrower returns the bill(s) drawn thereunder duly accepted by the Borrower, as the Borrower's office may not be located in the same city where the Bank has its branch negotiating the documents. The Borrower therefore, hereby irrevocably authorises the Bank to negotiate the documents sent by the beneficiary if the Bank considers the same to be in order and to make payment of the amount payable under the said credit(s) to the beneficiary without any prior reference to the Borrower and before forwarding the documents to the Borrower along with the related bill(s) for acceptance. Notwithstanding any discrepancy in the documents according to the Borrower or any dispute which the Borrower may have in regard to the goods on account of quantity, quality or otherwise in regard to their compliance with the terms of the credit or the contract with the supplier on any account whatsoever, the Borrower irrevocably and unconditionally undertakes and confirms that the Borrower shall accept the bill(s) on presentation of the same for acceptance and pay the amount payable in respect thereof on maturity without raising any dispute as to the Borrower's liability on any account and that in the event of the Borrower failing or refusing to accept the bill(s) and returning the same to the Bank, we shall be liable to pay and the Bank shall be entitled to recover from the Borrower the amount of the bill(s) together with interest and other charges which the Borrower have undertaken to bear and pay hereunder, on the expiry of the usance period of such bill(s).
9. The merchandise to be imported under the credit(s) will be under and in conformity with a valid import license in the Borrower's favour. The Borrower shall hand over to the Bank or their nominees, whenever required or called upon, the Exchange Control copy of import licenses relating to the said merchandise and sign and/or discharge any papers and/or documents for clearing and storing the merchandise covered by the said credit(s).
10. The Borrower undertakes:
- (i) To procure promptly any essential import or other licences, permits or clearances for the import or shipping of any and all property shipped under or pursuant to or in connection with the said credit(s) and to comply with any and all foreign and domestic governmental regulations in regard to the shipment of any and all such property or the financing thereof and to furnish such certificate or other document in that respect as the Bank may at anytime(s) require.
 - (ii) To pay to the Bank on demand all charges and expenses incurred or losses suffered by the Bank or its branch or correspondents in connection with and/or arising out of advising or confirming or amending the terms of the letters of said credit/credits and/or the related drawings under the said credit(s) and/or related property or otherwise, howsoever incurred or suffered in relation to these transactions. Such charges and expenses may be included in the drafts and/or invoices or billed separately to the Borrower. The Borrower shall not be entitled to raise any question or objection of whatsoever nature in relation to these transactions as to the correctness of the amount claimed from the Borrower in that behalf or otherwise.
 - (iii) To pay all costs, charges and expenses which the Bank may be put to or may have to pay or incur under or by virtue of these presents and for the due protection and enforcement of its rights and interest thereon or otherwise howsoever.
 - (iv) To pay the Bank interest at the same rate on all costs, charges and expenses that the Bank may be put to or may have to pay or incur in connection with the said credit(s).
 - (v) To pay the Bank on demand, with respect to the said credit(s), a commission at such rate as the Bank may determine in its absolute discretion.
 - (vi) To indemnify the Bank against all costs, charges, losses, expenses, claims or demands which the Bank may incur or suffer on account of a delivery order issued to the Borrower, or otherwise in the circumstances set out above together with interest on such amount at such rate as may then be current.





- (vii) To provide the Bank, at or before maturity of the Facility with funds to meet all commitments and payments made or to be made by the Bank on behalf of the Borrower together with commission, interest and all other costs, charges mentioned herein.
11. With respect to the guarantees/ indemnities agreed to be issued/ issued by the Bank, at the Borrower's request and for the Borrower's benefit and for such sums the Bank may decide in its absolute discretion, to enable the Borrower to obtain delivery of goods in case of missing bill(s) or other title documents:
- (i) To discharge in full all the Borrower's obligations and liabilities in respect of all guarantees or indemnities and to hold the Bank and the Bank's successors and assigns harmless and indemnified against all actions, proceedings, claims and/or demands brought, taken, instituted or made against the Bank and also against all losses, damages, costs, charges and expenses which the Bank may suffer, incur or be put to, by reason or in consequence thereof or in connection therewith and on demand to procure the Bank's release from the said guarantees/ indemnities.
 - (ii) On demand to do, perform and execute and cause to be done, performed and executed any act, deed, matter or thing required as further security by the Bank and for indemnifying the Bank against the consequence of the said guarantees/ indemnities or otherwise in connection therewith.
 - (iii) Without prejudice to the generality of the foregoing, to deposit with the Bank sufficient cash or other collateral security satisfactory to the Bank to cover the Bank's total liability and obligation under the said transaction.
12. The Bank may pay any amount demanded by the beneficiary(ies) under the said credit(s) when demanded without reference to the Borrower, and notwithstanding any dispute raised by the Borrower as to the Borrower's liability or instructions from the Borrower to the contrary and the Borrower shall not question the propriety or otherwise of the payments made by the Bank pursuant to the said credit(s) and to pay the same on demand by the Bank without raising any question or dispute whatsoever, and shall accept the same as just and correct and fully binding on the Borrower.
13. To reimburse to the Bank on demand any amount paid/ required/ caused to be paid by the Bank under the said guarantees/ indemnities together with interest thereon at the maximum rate for the time being charged by the Bank to its borrowers from the date of payment till reimbursement by the Borrower, regardless of legality or validity of such claim/s and without questioning the propriety or otherwise of such payment made by the Bank there under and shall accept the same as just and correct and fully binding on the Borrower.
14. The indemnity given by the Borrower shall be in addition to and shall not affect or prejudice any other or further security required or obtained by the Bank in relation to the Borrower's liability to the Bank with respect to the said credit(s) and shall be a continuing indemnity until all obligations covered by the said credit(s) are discharged and the same are returned, duly cancelled, to the Bank.
15. The Bank shall be entitled to debit the Borrower's Operative Accounts for the amounts mentioned hereinabove.
16. The Borrower's indemnity to the Bank shall not be discharged by any intermediate payment or satisfaction of the whole or any part of any sum or sums of money owing under the said guarantees/indemnities but shall be a continuing security and shall extend to cover all or any sum or sums of money which shall be payable from time to time and at any time under the guarantees/indemnities which the Bank may execute from time to time at the Borrower's request.



23. The Borrower hereby irrevocably agrees to keep the Bank indemnified and saved harmless in respect of any amount payable towards any tax, cess or levies payable in relation to the Facility, including but not limited to income-tax, interest or any other dues under the said letter(s) of credit or in respect of anything done or omitted to be done in connection therewith as also for all costs, charges, losses, expenses, claims or demands which the Bank may incur, suffer or sustain be put to or which may be made against the Bank.
24. Upon the occurrence of any of the following events:
- (i) non-performance of any of the promises to pay set forth hereinabove;
 - (ii) upon the non-payment of any of the other obligations or liabilities of the Borrower;
 - (iii) the Borrower's failure forthwith upon being required by the Bank to furnish satisfactory additional security;
 - (iv) death of any one of the Borrowers;
 - (v) failure in business of the Borrower;
 - (vi) the dissolution of the entity comprising of the Borrower;
 - (vii) any petition in bankruptcy or for winding up filed against the Borrower under any Law relating to the relief of debtors, commenced for the relief or readjustment or any of the Borrower's indebtedness either through reorganisation, composition, extension or otherwise,
 - (viii) a receiver or liquidator of any of the Borrower's property should be appointed at any time;
 - (ix) an assignment made by the Borrower for the benefit of creditors or taking advantage of any insolvency law;
 - (x) any of the Borrower's funds or other property which may be in, or come into, the Bank's possession or control, or that of any third party acting in the Bank's behalf as aforesaid, should be attached or detained or should be or become subject to any mandatory order of court or other legal process,

any or all of the Borrower's aforesaid obligations and/or liabilities shall at the Bank's option become due and payable immediately, without demand or notice and full power and authority is hereby given to the Bank without intimation to the Borrower, to sell, assign and deliver any Security provided to the Bank and/or any other property of the Borrower in the possession or custody of the Bank, through any broker or at public or private sale, at the Bank's option either for cash or on credit or for future delivery, without assumption of any credit risk, and without either demand, advertisement or notice of any kind, all of which are hereby expressly waived. At any sale hereunder, the Bank may, in the Bank's discretion, purchase the whole or any part of the property sold, free from any right of redemption on the Borrower's part (or the Security Provider, as applicable), all such rights being also hereby waived and released. The Bank shall not be responsible or accountable for any loss or deficiency that may be occasioned by reason of exercise by the Bank of any of the aforesaid powers. In the event of any sale or other disposition of any of the property aforesaid, after deducting all costs or expenses of every kind for care, safekeeping, collection, sale, delivery or otherwise, the Bank may apply the remaining proceeds of the sale(s) or other disposition thereof, to the payment or reduction either in whole or in part towards the settlement of any or all of the aforesaid obligations and/or liabilities, whether or not then due, making proper allowance for interest on obligations or liabilities not then due, and return the surplus, if any, to the Borrower (or the Security Provider, as applicable) whose property may have yielded the surplus, all without prejudice to the Bank's rights as against the Borrower with respect to any and all amounts which may be or remain unpaid.

25. Other Confirmations:

- (i) If the Bank holds a guarantee from another party guaranteeing the due performance of the Borrower's obligations hereunder, the Bank shall be at liberty, without affecting its rights against the Borrower in any manner whatsoever, to present the drafts under the said letter(s) of credit to the guarantor without first presenting them to the Borrower and to accept payment from the guarantor and to hand over the discharged drafts and documents to him, at the Bank's option.





- (ii) If the Borrower requests to include in the said credit(s) any provision for Clean Advance(s)] to the beneficiary, the Bank may make a provision to that effect therein only if the Bank may deem it appropriate, on a specific application from the Borrower. Under this arrangement any Bank entitled to negotiate drafts under the said credit(s), may grant in each case, at its discretion any one or more Clean Advances at any time prior to the date of negotiation of bills of exchange under the said credit(s) against proper written request and receipt from the beneficiary. Provided that the aggregate of such Advance(s) shall in no event be more than the amount specified in the application for Clean Advances and exceed the amount remaining available under the said credit(s) at the time of advance. Further, each such Advance will be repaid by the beneficiary to the bank(s) that made the Advance(s) from the proceeds of any draft(s) drawn under the said credit(s), should any such Advance(s) not be thus repaid, the Borrower will on demand immediately pay to the Bank without demur or dispute the amount(s) thereof as if such Advance(s) were evidenced by the draft(s) drawn under the said credit(s), together with interest for the period that the same shall have been outstanding at such rate as the Bank may determine at the time of demand to be payable. It is understood that neither the Bank nor any other bank(s) which makes such Advance(s) shall be obliged to inquire into the utilisation of the funds by the beneficiary and the Bank and such bank shall not be liable for any wrongful use by the beneficiary of any funds so advanced.
- (iii) Except when contrary instructions are given to the Bank by the Borrower in writing expressly with regard to and prior to the opening of the said credit(s), the Bank and/ or any of the Bank's correspondents may receive and accept:
- (a) as "Bills of Lading" related to the said credit any document(s) issued or purporting to be issued by or on behalf of any such carrier which acknowledge(s) receipt of merchandise for transportation irrespective of the provisions of such document(s), the date of each such document shall be deemed to be the date of shipment of the merchandise mentioned herein, and any such document(s) issued by or on behalf of an ocean carrier may be accepted by the Bank as an "Ocean bill of lading" whether or not the entire transportation is by water;
 - (b) the related drafts for honouring the same in case of part shipment(s) and or shipment(s) in excess of the quantity called for in the said credit(s) which may be made, the Borrower's liability to reimburse the Bank for payments made or obligations incurred on such drafts will be limited to the amount of the said credit(s);
 - (c) if the said credit(s) specify shipments in installments within stated periods, and the shipper fails to ship in any designated period, shipment of subsequent installments may nevertheless be made in their respective designated periods, the related drafts may be accepted for honouring the same;
 - (d) as documents of insurance under the said credit(s), either insurance policies or insurance for higher amounts than the amounts paid by the Bank under the related credit(s);
 - (e) for the purpose of payment as complying with the terms of the said credit(s), any drafts or other documents, otherwise in order which may be signed by, or issued to, the administrator or executor of the trustee in bankruptcy of, or the receiver appointed for any of the property of, the party in whose name the said credit(s) stands.
26. In the event of any change or modification with respect to (a) the amount or duration of the said credit(s); (b) the time or place of shipment of any related property; (c) the drawing, negotiation, presentation, acceptance, or maturity of any drafts, acceptances or other documents: or (d) any of the other terms or provisions of the said credit(s), such being done at our request, the Agreement shall nevertheless be binding upon the Borrower in all respects with regard to the said credit(s) so changed or modified, inclusive of any action taken by the Bank or any of the Bank's branches or correspondents related thereto.
27. The Borrower agrees to be liable notwithstanding the fact that the Bank has dispensed with recourse to any other third party at whose instance the credit(s) may have been issued by the bank at the Borrower's request.



28. As per RBI regulations of January 1, 1984 bill(s) under letter(s) of credit not retired within 10 days from receipt of documents by the Bank will be crystallized on the 10th day and usance bill(s) will be crystallized on their maturity dates or in any other manner or time period as stipulated by the RBI or any other regulatory authority from time to time.
29. Except as otherwise expressly stated, the said credit(s) and all amendments thereto are subject to the Uniform Customs and Practices for Documentary Credits (1983 revisions), International Chamber of Commerce Publications Number 500 or any other modifications or amendments thereof for the time being in force thereof.
30. The applications shall be deemed to have been accepted and the said credit(s) deemed to have been issued when written advice thereof has been sent to the beneficiary.
31. All amounts payable by the Borrower hereunder shall be payable in Mumbai or any other place as notified by the Bank from time to time.





Credit linked Insurance Policy declaration (Tick (✓) the option) :

- ☐ The Borrower agrees to avail credit linked insurance policy assigned in favour of the Bank, to cover mortality risk on its /Partner's/Director's life during the tenor of the credit facility.
- ☐ The Borrower do not agree to avail credit linked insurance policy assigned in favour of the Bank, to cover mortality risk on its /Partner's/Director's life during the tenor of the credit facility.

Under sole Banking relationship, you shall deal with the Bank/HDFC Bank exclusively, post availing working capital credit facilities from HDFC Bank. Your entire business & personal family accounts relating to your activity should be restricted only through HDFC Bank.

We are pleased to offer you a preferential rate of interest for the above facilities, considering your loan being classified under Priority sector lending. However, if the loan is reclassified into Non-PSL as per the guidelines/ directions/rules/ regulations notified by RBI, the bank is entitled to modify the interest rate and reprice the above facilities upwards by 100 basis points and the Borrower agrees and confirms to pay interest as per such modified interest rate on the facilities and related amounts on and from the date of such modification. (Applicable only for PSL classified customers).

This Sanction Letter is valid for a period of 30 days from the date of issuance. The Facility will only be made available subject to the Borrower executing the Master Facility Agreement with the Bank. In the event the Borrower and the Bank do not enter into the Master Facility Agreement within 30 days from the date of issuance of this Sanction Letter, this Sanction Letter shall expire.

Kindly sign and return the duplicate of the Sanction Letter as a token of your acceptance of the terms and conditions of sanction. Kindly also call on our Relationship Manager/ SM for execution of necessary security documents.

We look forward to partner you in your business.



<Name and Designation of Bank Official>

EMERGING ENTERPRISES GROUP (EEG)

HDFC Bank Ltd.

Accepted and Confirmed on behalf of: NAKLANK ANODISE

Name:

Designation:

Date

(Affix round stamp here)